

Timex Group India Ltd

Concall Tracker — earning trigger & management consistency check | 11 July 2026 | Screener ticker: TIMEX (BSE 500414)

1. Snapshot

What the business does (one line): Timex Group India designs, makes and sells wrist watches in India — both its own **Timex** brand and a stable of famous fashion labels it is licensed to make and sell here (Guess, Versace, GC, Nautica, Ted Baker, Adidas, Philipp Plein, Furla and more). It runs one factory at Baddi (Himachal Pradesh) and sells through shops, big retail chains and online. In short: it earns money by putting well-known brand names on watches and getting them onto Indian wrists.

Number (source: Screener)	Value	Plain-English read
Market value of the company	Rs 5,750 cr	What the whole company is worth on the stock market today.
Share price (high / low)	Rs 570 (577 / 200)	The stock has roughly tripled from its 1-year low of Rs 200 — a lot of the good news is already in the price.
FY26 sales (year to Mar 2026)	Rs 799 cr	Total watches sold in the year — up about 48% from Rs 538 cr last year. A very big jump.
FY26 net profit	Rs 75 cr	Final profit after all costs and tax — more than doubled from Rs 31 cr last year.
Operating margin (OPM)	14%	Out of every Rs 100 of sales, Rs 14 is operating profit — up from 9% a year ago; the business is getting more profitable as it grows.
Borrowings (debt)	Rs 6 cr	Almost no debt left — slashed from Rs 101 cr a year ago. The company is now effectively debt-free.
Stock P/E	72.5	The price is 72 times one year's profit — very expensive; buyers are paying a lot upfront for future growth.
ROCE / ROE	93% / 116%	Return on the money in the business is very high — but flattered by a tiny equity base (book value only Rs 11/ share), so read these as "very profitable now" not "sustainable forever".

2. Concall coverage

No concall (earnings-call) transcripts were available on Screener for Timex Group India — this report is based on a global web deep-dive. The company does not appear to hold regular investor earnings calls, so the promised-vs-delivered check below leans on results filings, the company's own results release and credible news rather than management's spoken guidance.

Sources used: Screener.in financial snapshot (P&L, quarterly, balance sheet, shareholding); company FY26 results release (via Indian Retailer, Business Upturn, ScanX); Q4 FY26 result notes (Univest); Q2 FY26 result note (MarketsMojo); promoter stake-sale (OFS) coverage (ScanX, BW Businessworld); business/brand background (Business Standard, Wikipedia, company site timexindia.com).

Latest update highlights — FY26 full year & Q4 (year ended Mar 2026)

- **Record year.** Full-year sales crossed Rs 800 cr (Rs 799 cr on Screener), up about 48%; profit before tax jumped ~151% to about Rs 107 cr. Plain read: both sales and profit grew sharply, and profit grew much faster than sales — a sign of good operating leverage.
- **Strong finish.** Q4 (Jan–Mar 2026) sales rose ~73% to about Rs 236 cr and quarterly net profit roughly tripled to about Rs 27 cr. Plain read: the momentum was still accelerating at year-end, not fading.
- **Brand engine firing.** Own brand Timex grew 62%, Guess 51%, Versace 48% in FY26. Plain read: growth is broad-based across the portfolio, not one lucky label.
- **Online boom.** E-commerce sales grew ~90% for the year (and ~158% in Q4). Plain read: selling online is the fastest-growing channel and needs little extra fixed cost.
- **Debt cleared.** Borrowings fell to about Rs 6 cr from Rs 101 cr. Plain read: the company funded its growth from its own cash and is now essentially debt-free.

Source: FY26 results release and result notes (Indian Retailer, Business Upturn, Univest). No management earnings call was held.

Business mix & capacity (quick facts)

- **Domestic vs export split:** Not separately disclosed. The business is overwhelmingly an **India-market** operation (licensed to sell these brands within India), so treat it as almost entirely domestic sales — but management does not publish an exact split.
- **Capacity & headroom:** The Baddi factory makes roughly **5–6 million watches a year** and can be scaled to **10 million units with almost no new spending** (mainly by running extra shifts). Plain read: there is a large runway to grow output before any big factory investment is needed — good for margins.

3. Earning Trigger thesis

The core driver: a scaling fashion-watch portfolio with big margin and capacity headroom

The thing driving earnings up is simple and concrete: Timex India has turned a sleepy, loss-making watch maker into a fast-growing **multi-brand fashion-watch house**. It keeps adding famous licensed labels (Guess, Versace, and newer tie-ups like Aston Martin, plus pop-culture collections such as Harry Potter and Superman), pushing them hard online and in modern retail, and premiumising the mix. Because the Baddi factory is already paid off (fully depreciated) and can nearly double output without new capex, and because online selling adds little fixed cost, **each extra rupee of sales drops far more profit** — which is exactly why margins jumped from 9% to 14% and profit more than doubled this year. Sales have gone from Rs 264 cr (FY22) to Rs 799 cr (FY26) — roughly 3x in four years.

Trigger	What the record says	Evidence so far	Time horizon	Strength
Brand-portfolio scale-up (Timex + licensed labels)	Add and grow famous fashion brands across price points	Timex +62%, Guess +51%, Versace +48% in FY26; sales 3x in 4 years	Playing out now, multi-year	Strong
Operating leverage / margin expansion	Paid-off factory + online growth lift profit faster than sales	OPM 9% → 14%; PBT +151% vs sales +48%	Live, near-term	Strong
E-commerce channel growth	Sell more online at low added cost	Online +90% FY26 (+158% in Q4)	Live, ongoing	Strong
Capacity headroom to 10M units, near-zero capex	Scale output with shifts, not new plant	Current ~5–6M units; runway stated but not yet used up	Medium term	Moderate
Debt cleared / self-funded growth	Fund growth from own cash	Borrowings Rs 101 cr → Rs 6 cr	Done	Strong

4. Management consistency scorecard

Note: with no earnings-call transcripts, we cannot check management's spoken promises quarter by quarter. Instead we judge whether the delivered numbers tell a steady, believable story over the last few years.

Period	What the story/target was	What actually happened	Verdict
FY22→FY24	Turn around from losses; grow the brand book	Sales Rs 264→419 cr; swung to steady profit (Rs 47 cr FY23, Rs 21 cr FY24)	Delivered
FY25	Keep growing, lift margins	Sales Rs 538 cr (+28%), profit Rs 31 cr, OPM 9%	Delivered
Q3 FY26 (Dec 2025)	Sustain the momentum	Weak quarter — sales Rs 151 cr but profit just Rs 3 cr, OPM 6%	Partly (lumpy)
FY26 full year	Scale toward Rs 800 cr, expand margins	Sales Rs 799 cr (+48%), profit Rs 75 cr, OPM 14%	Delivered
Stake / disclosure signal	—	Parent sold down from 74.9% to 51% via two OFS in 2025 (Rs 175 then Rs 275/share)	Watch

Narrative drift: The financial story has been remarkably **steady and improving** — growth accelerating, margins rising every year, debt cleared. There is no sign of the story changing or being quietly dropped. Two things temper the read, though: (1) the business is **lumpy quarter to quarter** — the festive September quarter is huge while a quarter like Dec 2025 nearly emptied out on profit; and (2) the **promoter cut its stake from 74.9% to exactly 51% through two sales into the rising share price in 2025** — selling into strength is a caution flag, even though the parent still keeps control. Because Timex holds no earnings calls, ongoing disclosure is thinner than for peers, so the consistency read has to lean on results rather than on management's word.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver and it is visibly playing out: a broadening fashion-watch brand portfolio, sold increasingly online, produced in a paid-off factory with room to nearly double output at little cost. That combination turned sales into 3x over four years and lifted margins from 9% to 14% with profit more than doubling in FY26. This is a real engine, not a hope.

Management consistent? → MAYBE

On the numbers, management has delivered steadily and the story has never drifted — that argues for a Yes. But two facts hold it to a Maybe: the company holds **no earnings calls**, so there is no spoken promised-vs-delivered record to verify; and the **promoter sold its stake down to exactly 51% into the share-price rally** during 2025. Delivery has been good, but the thin disclosure and the insider selling into strength mean we stop short of a clean Yes.

One-line caution for the file: Excellent business execution, but the stock already trades at ~72x earnings after tripling, and everything rests on licensed/parent brands — a great company at a demanding price.

Prepared by the Concall Tracker skill on 11 July 2026. No earnings-call transcripts were available; analysis is a global web deep-dive on public filings, the company's FY26 results release and credible news. Figures rounded; sourced mainly from Screener.in and cited news. **This is not investment advice — do your own due diligence.**